

case-study-difc-holding-mining

"When a Simple Company Setup Turns Into a Full Operational Launch"

Client Situation & Market Context

The client had already conducted extensive market research and received 3 commercial proposals from different consulting companies in Dubai before contacting WTP.

The client was extremely demanding and carefully examined all details of the process. When he realized that potential providers were unable to give clear answers about DIFC free zone requirements, regulatory restrictions, banking compliance, and other critical questions, he continued searching for a contractor who could answer all questions and provide a clear picture of next steps.

Through broker referrals, the client approached WTP for consultation.

Initial Client Request

The client's initial request was quite ambitious.

He wanted to register **one company in DIFC** that would simultaneously hold two licensed activities:

1. **Trading activity** — Supply of industrial equipment for the mining industry
 2. **Investment activity** — Investment management and capital management
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The Problem: Impossible Structure

Having significant experience with DIFC registrations, WTP immediately identified the key problem.

DIFC is one of the most prestigious and demanding financial zones in the region, with a separate regulatory regime and strict compliance procedures.

The structure the client wanted was impossible from the regulator's perspective.

In DIFC, investment activity and trading activity fall under different regulatory regimes. Attempting to combine them in one license contradicts the jurisdiction's rules.

When informed, the client was extremely surprised — he had already received three commercial proposals stating this structure could be implemented, complete with pricing.

Verification with the Regulator

To eliminate any doubts, WTP contacted the DIFC administration directly and received **official written confirmation** that combining these types of activities in one license is impossible.

This earned the client's full trust, and WTP proposed an alternative structure.

Corporate Structure Solution

WTP proposed a **two-level model**:

DIFC Holding Company

- Investment management
- Asset ownership
- Corporate governance

DIFC Global Mining Tech Holding (Drilling Equipment & Machinery)

- Trading mining equipment
 - International equipment supply
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Compliance Process

Additional complexity came from the client's profile.

Despite holding EU citizenship, his name triggered associations with Russian origin, which automatically activated enhanced compliance checks.

The regulator requested an expanded document package, including:

- Source of Wealth confirmation
- Bank statements
- Birth certificate
- Confirmation of absence of Russian citizenship
- Legal certification of documents

The primary source of capital was linked to a share sale in a major company in 2014.

WTP's team:

- Prepared the complete document package
- Organized translation
- Ensured legal certification

Result: DIFC compliance was successfully passed without additional remarks.

Banking Strategy

Thanks to the correctly chosen structure and a quality compliance document package — pre-approved with one of the region's leading banks (Mashreq Bank) — WTP opened the corporate account without significant difficulties.

Additional Support

Beyond company registration, WTP's team fully handled business infrastructure setup:

- Translation and legalization of the owner's diploma
- Preparation of professional profile for banking compliance
- Apartment search in Dubai

- Office search assistance
 - Domain registration
 - Connection of necessary business services and subscriptions
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Result

Despite complex compliance, elevated industry risk, and the impossibility of the initial structure, the project was successfully completed.

The client received:

- Registered DIFC holding structure
 - Office presence in DIFC
 - Regulatory approval
 - Pre-approved banking
 - Fully prepared infrastructure for business launch
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Key Takeaway

This case demonstrates how deep understanding of the regulatory environment and an honest expert position allow finding a working solution even in situations where the market offers impossible structures.

Three other consultancies said "yes" and quoted a price. WTP said "no, here's why" — verified with the regulator — and delivered a structure that actually works.